

Four Answers for Trang

ROX x Republic Advisory · 21 August 2026 · Confidential

A two-page companion to the executive memo. Figures are the base case (no price cap, per ROX's stated position of 21 August); the capped figure follows in brackets where it differs.

1. The Cayman Company

Investors do not lend to ROX or to RECA. They lend to a small new company created for this one job.

- **Why a separate company.** The utility's payments are signed over to it on day one. If ROX or RECA ever ran into trouble, their creditors could not touch the money that pays the notes. The notes live or die on the utility paying, and on nothing else.
- **What it is.** A shell with one asset and one debt. It owns the right to the 25 years of payments; it owes the notes. No staff, no other business, and its rules forbid it from borrowing anything else.
- **Why Cayman.** Investors' lawyers know its companies law by heart, it adds no tax between the utility's payment and the noteholder, and it fits the English-law documents and London arbitration. Buyers pay less for structures they recognise.
- **What ROX gives up.** Control of the cash while the notes are outstanding. Payments flow through a fixed order; ROX is paid last. That is the feature buyers pay for, not a side effect.

2. The All-In Cost

Borrowing does not just cost the coupon. Taxes, fees, and money forced to sit idle all ride on the same dollar. The calculation: write down every dollar ROX receives and every dollar it later pays out, put them on a timeline, and find the one interest rate that makes the two sides equal. That rate is the all-in cost.

Step	Adds	Running total
The coupon	6.00	6.00%
Withholding tax (the lender must net the full coupon, so ROX pays the 10% tax on top)	+0.67	6.67%
Fees at close, \$1.7m spent on day one	+0.50	7.17%
The reserve: \$3.51m locked for the term, earning nothing	+0.64	7.81%
The guarantee fee and rating surveillance	+2.40	10.21%
ROX protective capital: \$2.71m of ROX cash locked beneath the notes	+0.86	11.07% (11.45%)

The coupon is what investors see. The all-in is what ROX pays.

3. The Guarantor

The rating comes from the guarantor, so the guarantor must qualify. Five requirements make the portrait:

Requirement	MIGA	GuarantCo	ADB

Its own rating at single-A or better	AAA	A1	AAA
Capacity for the full \$54.1m	Yes, to \$250m	No, \$40m	No, \$25m
A pay-on-demand promise (pays when a coupon is due, without waiting for lawsuits)	To negotiate: its form has a waiting period	Closest	To negotiate
A mandate covering a Kyrgyz private renewable borrower	Yes	Yes	Yes
A fee below the saving (100–300 basis points against roughly 3 points saved)	Not published	Not published	Not published

Only MIGA carries the full base-case raise, so MIGA is the first call. None has been approached; every figure is a published term.

4. How the Raise Is Sized

A lender does not lend against the plant or the build cost. It lends against the cash the plant produces, and it tests every year on its own.

1. Take each year's cash after costs and tax, fifteen numbers.
2. Work out what one dollar of notes costs to carry in each year: repayment, tax top-up, guarantee fee, surveillance. About 13 cents early, falling to 11.
3. Apply the lender's rule: cash must be at least 1.30 times the year's bill.
4. The smallest year's answer is the raise.

Worked once: 2033, the tightest year, clears \$8.58m. Divided by 1.30, that year can afford a bill of \$6.60m, which is exactly the bill on \$54.1m of notes. One dollar more and 2033 breaks the rule. (\$33.9m if the cap binds; the tight year is then 2041.)

Totals do not matter: if the cap binds the plant earns \$110.4m against \$60.8m owed over the term, 1.8 times, yet the weakest single year still caps the raise, because debt is paid year by year, not on average.

Prepared by Republic. Figures from financing model v1.9; nothing here replaces the executive memo.